

The Housing Crisis in Omaha, Nebraska

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Abstract:

This case study on Omaha, Nebraska, examines the city's persistent housing crisis and the underlying inequities that contribute to it. Drawing on personal testimony and research, the study highlights how limited affordable homeownership opportunities and a reliance on suburban, high-cost developments exacerbate disparities for working-class residents. As the city continues to prioritize horizontal expansion over sustainable, mid- to high-density solutions, this project proposes targeted strategies to foster a more equitable housing market that focuses on ownership among the community. By centering on community ownership and diverse housing needs, the case study aims to support Omaha's transition toward a more inclusive and resilient built environment.

Background:

Before exploring this case study of Omaha, Nebraska, it is essential to understand what determines “affordable” housing. According to the Omaha Social Project, housing is considered affordable when it requires no more than 30% of a resident’s annual income (Reed et al., 2020). However, in Omaha, a growing mismatch exists between this ideal and the lived realities of many working-class and low-income residents. Despite Omaha’s agricultural productivity and vibrant city life, recent years have seen a decline in housing availability and an increase in inaccessibility to new housing developments (United Way of the Midlands, 2023). The 2024 U.S. Census indicates a population comprising 68.8% White, 11.8% Black, 15.6% Hispanic, and 4.0% Asian (U.S. Census Bureau, 2024). This underscores the importance of addressing housing inequities, as they often intersect with issues of race and economic opportunity. The current housing market is challenging for working-class and low-income residents, with a limited number of affordable units and intense competition for available housing.

One major barrier to housing equity in Omaha is the persistent focus on suburban-style, single-family developments that cater primarily to upper-income households. This urban sprawl model neglects the needs of a diverse, increasingly urban population. The quality of housing is another critical factor. The Housing Availability and Quality in Nebraska report revealed that about 71% of Nebraskans who moved within a county did so because they sought better or higher-quality housing (Schafer & Grell, 2023). These findings highlight a broader trend of displacement driven by concerns over housing quality and affordability. In Omaha, addressing these challenges will require innovative solutions that move beyond traditional single-family housing and prioritize inclusive, ownership-based models that can foster long-term community resilience and equity.

Proposed Solution:

To address Omaha's affordable housing crisis, I propose a condominium development initiative that prioritizes ownership opportunities for local residents and prohibits external investors and real estate buyers from purchasing these units solely for profit. This approach aims to break the cycle of the renter's burden and housing speculation that has driven up home prices and exacerbated inequities in access to quality housing. By restricting these purchases and preserving affordability for residents, the project will foster resilience in Omaha's housing market and community as a whole.

This proposal is grounded in the understanding that affordable homeownership is a critical pathway to financial stability, wealth-building, and community resilience. However, as recent housing trends in Omaha and other U.S. cities demonstrate, even well-intentioned development projects often fail to meet these goals. For example, suburban housing developments, like the highly regarded net-zero suburban homes that have become a trend across the country, are marketed as environmentally friendly solutions but are frequently situated on the city's outskirts and priced beyond the means of most income levels. These developments exacerbate urban sprawl, elevate transportation costs, and widen social and economic divides.

Furthermore, they constrain mobility for those without reliable transportation and often displace lower-income residents, limiting their access to the benefits of new construction. Many of these developments reinforce the seclusivity and spatial divide that has become more pervasive in suburban growth (Caldeira, 1996, p. 314). As Teresa Caldeira (1996) describes in "Fortified Enclaves: The New Urban Segregation," these developments employ physical barriers, such as fences, gates, and armed security, to enforce exclusivity, restricting social mixing. In this context, housing developments that prioritize isolation and profit over community well-being

employ a fragmented and unequal urban landscape, undermining democratic participation and collective belonging.

The proposed condominium ownership model directly addresses these injustices by safeguarding affordable homeownership within Omaha's downtown area. Specifically, this proposal would enact policies, similar to those highlighted in the National Association of Realtors' guide on promoting homeownership, that: encourage first-time homebuyer support programs and down payment assistance; provide financial education and counseling to help residents navigate the purchase process; and limit the resale of affordable units to eligible, income-qualified buyers rather than outside investors (National Association of Realtors, 2024).

This project advances community resilience by addressing at least four key criteria: equity, quality, ownership, and diversity. By preventing speculative investment in these affordable condominiums, the project directly tackles systemic housing inequality. As David Harvey argues in "The Right to the City", "the right to the city is... a right to change ourselves by changing the city more after our heart's desire" (p. 23). Building high-density condominiums with a fixed selling price allows developers to properly budget costs into the development and potentially incorporate sustainable features. Additionally, maintaining community ownership is crucial, and denying external investors the opportunity to profit from affordable units ensures that working-class and marginalized residents retain the power to shape their communities and housing futures. This builds an equitable foundation that supports racial, social, and economic justice.

Additionally, transitioning from renting to owning is transformative for low-income families, fostering long-term stability and wealth generation. The project's model of resident-controlled resale restrictions ensures that affordable housing remains permanently

affordable for future generations, rather than being swept away by rising property values. This approach mirrors successful community land trust (CLT) models in other cities, which have proven effective in maintaining affordability and empowering residents through collective stewardship of land and housing (Grounded Solutions Network, n.d.).

Mid-density condominium developments can better accommodate the diverse housing needs of Omaha's population, offering alternatives to sprawling, single-family homes. They support intergenerational and multicultural communities, aligning with Omaha's demographic profile. This inclusive approach contrasts sharply with suburban sprawl models that often segregate residents along socioeconomic and racial lines.

Compared to the suburban net-zero housing developments, this project prioritizes inclusivity over exclusivity. While suburban net-zero homes may reduce individual energy consumption and build resilience in their community, they often fail to address systemic issues such as affordability and spatial inequality. Additionally, these luxury developments often cater only to higher-income buyers who can afford the premiums of energy-efficient homes, leaving behind those who are already struggling to secure stable housing.

Ultimately, this project seeks to shift Omaha's housing narrative away from speculative development and back toward inclusive, resident-focused urban planning. By prioritizing equitable access to ownership, fostering housing diversity within the downtown area, and supporting long-term resilience, this proposal represents a transformative step for Omaha's built environment and the broader pursuit of social and environmental justice in urban spaces.

Project Activity:

The timeline for implementing this proposed affordable condominium ownership model is projected to span two to three years. The initial phase will involve drafting and lobbying for a bill that explicitly prohibits outside investors and real estate agents from purchasing affordable condominium units for resale. Over the next six months, the bill will be developed and refined, drawing from nationwide best practices in housing policy of similar legislative efforts.

Following the bill's introduction, the next six to twelve months will be dedicated to focused advocacy and public engagement efforts to secure its passage. This includes organizing community campaigns, informational outreach, and providing data-driven policy briefs to demonstrate the urgent need for this housing protection measure. With sufficient momentum, the bill is expected to pass within this timeframe.

Once the bill is enacted, implementation will commence in the final twelve to eighteen months of the project timeline. This phase will involve identifying suitable parcels of land within Omaha's urban core for high-density condominium development, coordinating with affordable housing developers to initiate site planning, and establishing clear criteria for allocating units to income-qualified residents. The new law will ensure that any condominium project designated as "affordable housing" is automatically subject to these protective ownership restrictions.

Additionally, homeownership preparation programs will be introduced to equip residents with the necessary knowledge and financial literacy to purchase and maintain their homes. These workshops will cover topics such as securing financing, understanding cooperative ownership structures, and building long-term housing stability. With this sequence of policy passage, project launch, and resident readiness efforts, the plan aims to establish a robust framework for equitable homeownership in Omaha's affordable housing sector within the next two to three years.

Stakeholders:

A range of stakeholders will play important roles in the success of this affordable condominium ownership initiative. Community members, particularly working-class and low-income families, will play a central role in this effort. They are the primary beneficiaries of the project, which aims to provide stable, affordable homeownership opportunities and pathways to build equity. While working-class and low-income families will be a key consideration when developing this project, surrounding community members will also play a crucial role in shaping the project to ensure it addresses their needs.

Local government agencies, including city planning departments and housing authorities, will play a crucial role in implementing the new ownership restrictions and integrating them into broader housing and land use policies. These agencies will guide site selection for the proposed high-density developments, streamline permitting processes, and ensure that the condominiums meet affordability and sustainability standards. Developers will also play a critical role, as they will be responsible for designing and constructing condominium projects that utilize sustainable practices while meeting affordability and community standards.

While these stakeholders are likely to support and benefit from the project, opposition is expected from real estate firms and external investors. These groups have historically profited from purchasing affordable housing units and reselling them at higher prices, thereby undermining affordability and excluding families who are most in need of housing stability. Since the proposed legislation prohibits this kind of speculative investment, these firms and investors may resist the project, framing it as a limitation on market opportunities.

Next Steps:

A key challenge in implementing this proposal is ensuring that it meets the needs of all groups involved. Once different stakeholders, from residents to city officials to developers, begin working together, it can be challenging to align priorities and ensure consistent, equitable outcomes. Some groups may have differing visions for affordability, ownership restrictions, or the pace of development, which can lead to disagreements or delays in the project. To address this, it will be crucial to establish clear guidelines and transparent communication from the beginning. Developing shared project goals and measurable benchmarks can help keep everyone focused on shared outcomes. Regular community meetings can ensure that resident voices remain central and that necessary adjustments are made.

Looking ahead, the following steps will advance this project, including finalizing the bill language to restrict speculative investment in affordable condominiums and building a strong coalition of community advocates to support the bill's passage. Once the legislation is in place, the focus will shift to identifying priority sites for development and securing partnerships with affordable housing developers. Ultimately, it will be crucial to develop educational resources and workshops for future homeowners to ensure that the community is fully equipped to benefit from this new project.

****Here is a link to my storymap where I use a land suitability analysis in ArcGIS Pro to identify suitable development locations based on pre-determined criteria such as (1) population density, (2) proximity to green space, (3) proximity to bus lines, and (4) distance from educational facilities:**

- Link: <https://arcg.is/1CX9v00>

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